

Economics

Economics is a social science that focuses on the production, distribution, and consumption of goods and services, and analyses the choices that individuals, businesses, governments, and nations make to allocate resources.

- Economics is the study of how people allocate scarce resources for production, distribution, and consumption, both individually and collectively.

What is economics all about?

Economics is the study of how things are made, moved around, and used. It looks at how people, businesses, governments, and countries choose to use their resources. Economics is the study of how people act, based on the idea that people act rationally and try to get the most value or benefit. Economics is the study of how work and business are run. Since there are many ways to use human labour and many ways to get resources, it is the job of economics to figure out which ways produce the best results.

What are Principles of Economics:

The principles of economics definition can be given as a set of rules or concepts that govern how we satisfy unlimited wants with limited resources.

10 Principles of Economics

In brief Economics study how Money Supply, Business and Industry are organized, basic principles may be laid down below: -

Gregory Mankiw in his Principles of Economics outlines Ten Principles of Economics that we will replicate here, they are:

1. People face trade-offs.
2. The cost of something is what you give up getting it.
3. Rational people think at the marginal cost and marginal revenue.
4. People respond to incentives.
5. Trade can make everyone better off.
6. Markets are usually a good way to organize economic activity.
7. Governments can sometimes improve market outcomes.
8. A country's standard of living depends on its ability to produce goods and services.
9. Growth of money leads to inflation
10. Society faces a short-run tradeoff between Inflation and unemployment.

How People Make Decisions

1. People face trade-offs.

- “There is no such thing as a free lunch. Making decisions requires trading one goal for another.
- Examples include how students spend their time, how a family decides to spend its income, how the government spends revenue, and how regulations may protect the environment at a cost to firm owners.
- A special example of a trade-off is the trade-off between efficiency and equity.
 - Efficiency: the property of society getting the maximum benefits from its scarce resources.
 - Equity: the property of distributing economic prosperity fairly among the members of society.
 - For example, tax paid by wealthy people and then distributed to poor may improve equity but lower the incentive for hard

work and therefore reduce the level of output produced by our resources.

- This implies that the cost of this increased equality is a reduction in the efficient use of our resources.
- Another Example is “guns and butter”: The more we spend on national defense(guns) to protect our borders, the less we can spend on consumer goods (butter) to raise our standard of living at home.
- Recognizing that trade-offs exist does not indicate what decisions should or will be made.

2. The cost of something is what you give up getting it

Because people face trade-offs, making decisions requires comparing the costs and benefits of alternative courses of action.

- The cost of...
 - ...going to college for a year is not just the tuition, books, and fees, but also the foregone wages.
 - ...seeing a movie is not just the price of the ticket, but the value of the time you spend in the theater.
- This is called opportunity cost of resource.
- Opportunity cost: whatever must be given up to obtain some item, or the value of the next best alternative foregone.
- When making any decision, decision makers should consider the opportunity costs of each individual possibility.

3. Rational people think at the margin

Economists generally assume that people are rational.

- Rational: systematically and purposefully doing the best you can to achieve your objectives.
- Consumers want to purchase the bundle of goods and services that allow them the greatest level of satisfaction given their incomes and the prices they face.
- Firms want to produce the level of output that maximizes their profits.

- Many decisions in life involve incremental decisions: Should I remain in school this semester? Should I take another course this semester? Should I study an additional hour for tomorrow's exam?
- Rational people often make decisions by comparing marginal benefits and marginal costs.
- If the additional satisfaction obtained by an addition in the units of a commodity is equal to the price a consumer is willing to pay for that commodity, he achieves maximum satisfaction, which is the main goal of every rational consumer.
 - Example: Suppose that flying a 200-seat plane across the country costs the airline \$1,000,000, which means that the average cost of each seat must cost \$5000 to break even. Suppose that the plane is minutes away from departure and a passenger is willing to pay \$3000 for a seat. Should the airline sell the seat for \$3000? In this case, the marginal cost of an additional passenger is very small.
 - Another example: Why is water so cheap while diamonds are expensive? Because water is plentiful, the marginal benefit of an additional cup is small. Because diamonds are rare, the marginal benefit of an extra diamond is high.

4. People respond to incentives

- Incentive is something that induces a person to act [by offering rewards or punishments to people who change their behavior].
- Because rational people make decisions by comparing costs and benefits, they respond to incentives.
- Incentives may possess a negative or a positive intention. It may be in a positive or a negative way.

For example, by offering a raise in the salary of whosoever works harder can induce people to work hard which is a positive incentive. Whereas putting a tax on a good, say fuel, can induce people to consume it less which is a negative incentive.

How People Interact With Each Other

5. Trade can make everyone better off

- Trade is not like a sports competition, where one side gains and the other side loses.
- Consider the trade that takes place inside your home. Your family is likely to be involved in trade with other families daily. Most families do not build their own homes, make their own clothes, or grow their own food.
- Countries benefit from trading with one another as well.
- Trade allows for specialization in products that benefits countries (or families)
- For example, it was widely believed for centuries that in international trade one country's gain from an exchange must be the other country's loss.
- For example, giving the incentive of getting better grades in return for not having to take an exam.

6. Markets are usually a good way to organize economic activity

Many countries that once had centrally planned economies have abandoned this system and are trying to develop market economies.

- Market economy: an economy that allocates resources through the decentralized decisions of many firms and households as they interact in markets for goods and services.
- Market prices reflect both the value of a product to consumers and the cost of the resources used to produce it.
- Centrally planned economies have failed because they did not allow the market to work.
- Adam Smith and the Invisible Hand
 - Adam Smith's 1776 work suggested that although individuals are motivated by self-interest, an invisible hand guides this self-interest into promoting society's economic well-being.

Markets are where the buyers and sellers can meet to get goods and exchange items.

7. Government can sometimes improve market outcomes

There are two broad reasons for the government to interfere with the economy: the promotion of efficiency and equality.

- Government policy can be most useful when there is market failure.
 - Market failure: a situation in which a market left on its own fails to allocate resources efficiently.
- Examples of Market Failure
 - Externality: the impact of one person's actions on the well-being of a bystander. (Ex.: Pollution)
 - Definition of market power: the ability of a single economic actor (or small group of actors) to have a substantial influence on market prices.
 - Because a market economy rewards people for their ability to produce things that other people are willing to pay for, there will be an unequal distribution of economic prosperity.
- Note that the principle states that the government can improve market outcomes. This is not to say that the government always does improve market outcomes.

The Forces and Trends That Affect How the Economy as a Whole Works

8. A country's standard of living depends on country production

- Differences in the standard of living from one country to another are quite large.
- Changes in living standards over time are also quite large.
- The explanation for differences in living standards lies in differences in productivity.
- Productivity: the quantity of goods and services produced from each hour of a worker's time.
- High productivity implies a high standard of living.
- Thus, policymakers must understand the impact of any policy on our ability to produce goods and services.
- To boost living standards the policy makers, need to raise productivity by ensuring that workers are well educated, have the tools needed to produce goods and services, and have access to the best available technology.
- Per capita income of nation

9. Increase in Money Supply Causes the prices to rise

- Inflation: sustained increase in the overall level of prices in the economy.
- When the government creates a large amount of money, the value of money falls.
- The value of money falls when the government creates a lot of money, so individuals have more money and the demand for goods and services increases.
- When the demand increases, prices also increase and create inflation of money.
- During the 1970s, for instance, the overall level of prices more than doubled, and President Gerald Ford called inflation "public enemy number one."
- Examples: Germany after World War I (in the early 1920s), the United States in the 1970s, Zimbabwe in the 2001s and Venezuela in the 2010s.

10. Society faces a short-run tradeoff between inflation and unemployment

- Most economists believe that the short-run effect of a monetary injection (injecting/adding money into the economy) is lower unemployment and higher prices.
 - An increase in the amount of money in the economy stimulates spending and increases the demand of goods and services in the economy.
 - Higher demand may over time cause firms to raise their prices but in the meantime, it also encourages them to increase the quantity of goods and services they produce and to hire more workers to produce those goods and services. More hiring means lower unemployment.
- Some economists question whether this relationship still exists.
- The short-run trade-off between inflation and unemployment plays a key role in analysis of the business cycle.
- Business cycle: fluctuations in economic activity, such as employment and production.
- Policymakers can exploit this trade-off by using various policy instruments, but the extent and desirability of these interventions is a subject of continuing debate.